

ECO402 Live Quiz

Mid Term

PAID VU LMS HANDLING by Mam Mehwish 03184148783

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? Suppose demand curve for good A has shifted to the right as a result of increase in price of good B. From this we can infer that:

- A is used to produce good B.
- B is used to produce good A.
- A and B are complements.
- ☒ A and B are substitutes.

? If prices are held constant, an increase in income will:

- Rotate budget line outer towards Y-axis.
- Shift budget line inwards.
- ☒ Shift budget line outwards.
- Rotate budget line outer towards X-axis.

? OPEC is an example of:

- Legal market.
- Competitive market.
- ☒ Non-competitive market.
- Illegal market.

? Suppose the income of consumer raises by 100 % and prices also rise by the same percentage, the budget line of the consumer will:

- ☐ Rotate outer towards X-axis.
- Shift outwards.
- ☒ Remain same.

? Indifference curve cannot slope upward due to the assumption of:

- ☒ More of any good is preferred to less.

- Less of any good is preferred to more.
- Preferences are complete.
- Preferences are incomplete.

❓ **When we buy a product at low price in one location and sell it at high price in another location, it is known as in economics:**

- Consumer theory.
- Price discrimination.
- ☒ Arbitrage.
- Market parameter.

❓ **Which of the following is NOT a factor of production?**

- Labour.
- Capital.
- Land.
- ☒ Demand.

❓ **The concepts such as: economic growth, inflation and unemployment are discussed in Economics:**

- ☒ Macro.
- Financial.
- Managerial.

❓ **Cross-price elasticity of demand for the substitute goods will always be:**

- Negative.
- ☒ Positive.
- Zero.
- Infinity.

❓ **Basic economic problem of every economy is:**

- Unlimited material resources.
- ☒ Unlimited wants and needs.
- Abundant productive labor.
- Abundant productive capital.

1. If the percentage change in quantity demanded for milk is less than the percentage change in price of milk then the price elasticity of demand for milk is:
 - ☐ Unitary elastic
 - ☒ Inelastic ✓
 - ☐ Elastic
 - ☐ Perfectly elastic
2. Basic economic problem of every economy is:
 - ☐ Abundant productive capital.
 - ☒ Unlimited wants and needs. ✓
 - ☐ Unlimited material resources.
 - ☐ Abundant productive labor.
3. Indifference curves are convex to the origin because of:
 - ☐ The assumption of completeness.
 - ☐ The assumption that more is preferred to less.
 - ☒ The assumption of a diminishing marginal rate of substitution. ✓
 - ☐ Transitivity of consumer preferences.
4. Responsiveness of percentage change in quantity demanded of one good due to one percentage change in price of another good is known as _____ elasticity of demand.
 - ☐ Price
 - ☒ Cross price ✓
 - ☐ Point price
 - ☐ Income
5. The knowledge and skills acquired by worker through education and experience referred to as:
 - ☐ Physical Capital
 - ☐ Entrepreneurship
 - ☐ Capital
 - ☒ Human capital ✓
6. OPEC is an example of:

- ☐ Illegal market
 - ☐ Competitive market
 - ☒ Non-competitive market ✓
 - ☐ Legal market
7. **Coffee and tea are considered as substitutes, if price of tea decreases then it will shift:**
- ☐ Supply curve for coffee towards right.
 - ☐ Demand curve for tea towards left.
 - ☒ Demand curve for coffee towards left. ✓
 - ☐ Demand curve for coffee towards right.
8. **The assumption of transitivity is violated when indifference curves ____.**
- ☐ Become parallel
 - ☒ Intersect each other ✓
 - ☐ Touch X-axis
 - ☐ Become perpendicular
9. **Since mobile phone and SIM card are complements, the cross price elasticity of demand for mobile phone and SIM card will be:**
- ☒ Negative ✓
 - ☐ Infinity
 - ☐ Positive
 - ☐ Zero
10. **The supply curve slopes upward demonstrating that at:**
- ☐ Lower prices firms will increase output.
 - ☐ Higher prices firms will decrease output.
 - ☒ Higher prices firms will increase output. ✓
 - ☐ None of the given options.
1. **Aslam consumes more of a good due to increase in his income. For Aslam, this good is categorized as:**
- ☐ Public

- Normal ☒
- Giffen
- Inferior

2. Which of the following is NOT a factor of production?

- Capital
- Demand ☒
- Labour

3. Which of the following statements is correct?

- Tea and coffee are complementary goods.
- Butter and margarine are examples of substitute goods. ☒
- Butter and margarine are examples of complement goods.
- Car and petrol are substitute goods.

4. Which of the following will cause the demand curve for Apple to shift to the left?

- Increase in income
- Decrease in the price of complements
- Decrease in taste and preference. ☒
- Increase in taste and preferences

5. The cross price elasticity of demand for tennis balls and rackets is -3. This indicates that tennis balls and rackets are:

- Complements ☒
- Unrelated goods
- Inferior goods
- Substitutes

6. The indifference curve for left shoe and right shoe will be:

- Negatively sloped straight line
- Vertical
- Upward sloping
- L-shaped ☒

7. Suppose a consumer is spending all of his income on food (measured on x-axis) and books (measured on y-axis). Which of the following will pivot the budget line inward towards x-axis?

- ☐ Decrease in price of books
- ☐ Decrease in price of food
- ☒ Increase in price of food
- ☐ Increase in price of books

8. Suppose demand curve for good A has shifted to the right as a result of increase in price of good B. From this we can infer that:

- ☒ A and B are substitutes.
- ☐ A and B are complements.
- ☐ A is used to produce good B.
- ☐ B is used to produce good A.

9. The knowledge and skills acquired by worker through education and experience referred to as:

- ☐ Capital
- ☐ Entrepreneurship
- ☐ Physical Capital
- ☒ Human capital

10. Market equilibrium is a market state where:

- ☐ The supply in the market is less than the demand in the market.
- ☒ The supply in the market is equal to the demand in the market.
- ☐ The supply in the market is not equal to the demand in the market.
- ☐ The supply in the market is greater than the demand in the market.

1. Suppose the income of consumer raises by 100 % and prices also rise by the same percentage, the budget line of the consumer will:

- ☐ Rotate outer towards X-axis.
- ☒ Remain same.
- ☐ Shift inwards.
- ☐ Shift outwards.

2. Cross price elasticity of demand for the complements will always be:
- ☐ Positive
 - ☒ Negative
 - ☐ Infinity
 - ☐ Zero
3. If the percentage change in quantity demanded for bread is more than the percentage change in price of bread then the price elasticity of demand for bread is:
- ☒ Elastic
 - ☐ Inelastic
 - ☐ Perfectly elastic
 - ☐ Unitary elastic
4. Which of the following statements is correct?
- ☐ Cross elasticity of demand for substitutes is negative.
 - ☐ Income elasticity of demand for inferior goods is positive.
 - ☐ Income elasticity of demand for normal goods is negative.
 - ☒ Cross elasticity of demand for substitutes is positive.
5. Amount of total money spent on a good having price "P" and quantity "Q" can be obtained by which of the following?
- ☐ $P + Q$
 - ☒ PQ
 - ☐ P / Q
6. Since car and petrol are complements to each other, if price of petrol increases then it will shift the:
- ☐ Demand curve of petrol towards right.
 - ☐ Demand curve of car towards right.
 - ☐ Supply curve of car towards right.
 - ☒ Demand curve of car towards left.
7. Since car and petrol are complements to each other, if price of petrol decreases then it will shift the:
- ☐ Demand curve of petrol towards left.

- Supply curve of car towards right.
 - Demand curve of car towards right. ☒
 - Demand curve of car towards left.
8. **When we buy a product at low price in one location and sell it at high price in another location, it is known as in economics:**
- Market parameter
 - Consumer theory
 - Arbitrage ☒
 - Price discrimination
9. **Which of the following is a mathematical representation of a theory used to make a prediction?**
- Law
 - Relation
 - Equation
 - Model ☒
10. **Which one of the following is not a factor of production?**
- Human capital
 - Land
 - Physical capital
 - Environment ☒
1. **Since mobile phone and SIM card are complements, the cross price elasticity of demand for mobile phone and SIM card will be:**
- Negative ✓
 - Positive
 - Infinity
 - Zero
2. **Suppose a college professor opens an academy for coaching classes and hires three additional teachers. These teachers would most likely be considered which of the following factors of production?**

- ☐ Demand
 - ☐ Land
 - ☐ Capital
 - ☐ Labour ✓
3. **Inferior goods have negative income elasticity and luxury goods have:**
- ☐ Income elasticity equal to one
 - ☐ Income elasticity less than one
 - ☐ Income elasticity less than zero
 - ☐ Income elasticity greater than one ✓
4. **Which of the following is NOT a factor of production?**
- ☐ Demand ✓
 - ☐ Land
 - ☐ Capital
 - ☐ Labour
5. **What will happen if price falls below the market clearing price?**
- ☐ No change in Quantity demanded.
 - ☐ Quantity demanded will increase. ✓
 - ☐ Quantity Supplied will increase.
 - ☐ Quantity demanded will decrease.
6. **Suppose demand curve for good A has shifted to the right as a result of an increase in the price of good B. From this we can infer that:**
- ☐ A and B are complements.
 - ☐ A and B are substitutes. ✓
 - ☐ B is used to produce good A.
 - ☐ A is used to produce good B.
7. **OPEC is an example of:**
- ☐ Legal market
 - ☐ Non-competitive market ✓
 - ☐ Competitive market

- Illegal market
8. **Suppose a college professor opens an academy for coaching classes and buys new tables and chairs for the students. These tables and chairs would most likely be considered which of the following factors of production?**
- Labor
 - Natural Resources
 - Capital ✓
 - Entrepreneurship
9. **The concepts such as: economic growth, inflation, and unemployment are discussed in Economics.**
- Managerial
 - Micro
 - Macro ✓
 - Financial
10. **Income elasticity of demand for a superior good is always:**
- Greater than one ✓
 - Equal to one
 - Negative
 - Between zero and one
1. Slope of indifference curve is known as Marginal rate of:
- Technical substitution.
 - Substitution.
 - Disutility.
 - Utility.
 - **Correct Option: Substitution**
2. Which of the following will cause the demand curve for butter to shift to the right?
- An increase in the price of the butter.
 - A decrease in consumers' incomes.

- All of the given options.
- An increase in the price of margarine (a substitute).
- ****Correct Option: An increase in the price of margarine (a substitute).****

3. Suppose demand curve for good A has shifted to the right as a result of increase in price of good B. From this we can infer that:

- A is used to produce good B.
- A and B are substitutes.
- B is used to produce good A.
- A and B are complements.
- ****Correct Option: A and B are substitutes.****

4. Income elasticity of demand for a normal good is always:

- Between 1 and 2.
- Negative.
- Between 0 and 1.
- Greater than 1.
- ****Correct Option: Between 0 and 1.****

5. Suppose the income of consumer raises by 100 % and prices also rise by the same percentage, the budget line of the consumer will:

- Shift outwards.
- Rotate outwards towards X-axis.
- Remain same.
- Shift inwards.
- ****Correct Option: Remain same.****

6. Suppose a consumer is spending all of his income on food (measured on x-axis) and books (measured on y-axis). Which of the following will pivot the budget line outward towards x-axis?

- Increase in price of food

- Decrease in price of books
- Increase in price of books
- Decrease in price of food
- ****Correct Option: Decrease in price of books****

7. If two goods are perfect substitutes of each other, then the shape of an indifference curve is:

- Concave
- L-shaped
- Straight line
- Convex
- ****Correct Option: Straight line****

8. Coffee and tea are considered as substitutes, if price of tea decreases then it will shift:

- Supply curve for coffee towards right.
- Demand curve for coffee towards right.
- Demand curve for coffee towards left.
- Demand curve for tea towards left.
- ****Correct Option: Demand curve for coffee towards right.****

9. _____ represents all combinations of market baskets that provide the same level of utility to a consumer:

- An indifference curve.
- A budget line.
- An isoquant.
- A demand curve.
- ****Correct Option: An indifference curve.****

10. The demand curve becomes horizontal if the price elasticity of demand is:

- Zero.

- Negative.
- Positive.
- Infinite.
- **Correct Option: Infinite.**

1. Coffee and tea are considered as substitutes, if price of tea decreases then it will shift:

- Demand curve for coffee towards right.
- Demand curve for coffee towards left.
- Supply curve for coffee towards right.
- Demand curve for tea towards left.
- Correct option: Demand curve for coffee towards left.

2. Which of the following is (are) example(s) of perfectly competitive markets?

- OPEC
- Wheat
- Wapda
- All of the given options.
- Correct option: None of the given options.

3. DVD players and DVDs are:

- Independent goods
- Inferior goods
- Complementary goods
- Substitute goods
- Correct option: Complementary goods

4. Suppose a consumer is spending all of his income on food (measured on x-axis) and books (measured on y-axis). Which of the following will pivot the budget line inward towards x-axis?

- Decrease in price of books

- Decrease in price of food
- Increase in price of books
- Increase in price of food
- Correct option: Increase in price of food

5. The magnitude of the slope of an indifference curve is:

- Equal to the ratio of the total utility of the goods.
- All of the given options.
- Called the marginal rate of substitution.
- Always equal to the ratio of the prices of the goods.
- Correct option: Called the marginal rate of substitution.

6. Slope of indifference curve is known as Marginal rate of:

- Utility.
- Technical substitution.
- Disutility.
- Substitution.
- Correct option: Marginal rate of substitution.

7. Aslam consumes more of a good due to increase in his income. For Aslam, this good is categorized as:

- Normal.
- Giffen
- Public.
- Inferior.
- Correct option: Normal.

8. If the percentage change in quantity demanded for bread is more than the percentage change in price of bread then the price elasticity of demand for bread is:

- Inelastic.

- Unitary elastic.
- Perfectly elastic.
- Elastic.
- Correct option: Elastic.

9. Suppose demand curve for good A has shifted to the left as a result of increase in price of good B. From this we can infer that:

- Good B is used to produce good A.
- Good A is used to produce good B.
- Goods A and B are substitutes.
- Goods A and B are complements.
- Correct option: Goods A and B are complements.

10. Which of the following is a mathematical representation of a theory used to make a prediction?

- Model
- Law
- Relation
- Equation
- Correct option: Equation

1. Since mobile phone and SIM card are complements, the cross price elasticity of demand for mobile phone and SIM card will be:

- Infinity
- Positive
- Zero
- Negative
- Correct Option: Positive

2. All the points on the indifference curve give equal level of:

- Marginal utility.
- Demand.
- Utility.
- Supply.
- Correct Option: Utility.

3. Since car and petrol are complements to each other, if the price of petrol increases then it will shift the:

- Supply curve of car towards right.
- Demand curve of car towards left.
- Demand curve of car towards left.
- Demand curve of petrol towards right.
- Correct Option: Demand curve of car towards left.

4. Consumers can maximize their satisfaction at a point where marginal rate of substitution is:

- Less than the ratio of the prices.
- Equal to the ratio of the prices.
- Greater than the ratio of the prices.
- Not equal to the ratio of the prices.
- Correct Option: Equal to the ratio of the prices.

5. An increase in consumers' income, holding prices constant, will:

- Shift the budget line rightward with its slope becoming flatter.
- Shift the budget line rightward.
- Change the slope of the budget line.
- Shift the budget line leftward.
- Correct Option: Shift the budget line rightward with its slope becoming flatter.

6. If two goods are perfect substitutes of each other, then the shape of an indifference curve is:

- Convex
- Straight line
- Concave
- L-shaped
- Correct Option: Straight line

7. Which of the following is a branch of economics that deals with observations of real economic facts?

- Positive economics
- Welfare economics
- Normative economics
- All of the given options
- Correct Option: Positive economics

8. Which of the following is correct?

- Price elasticity of demand = Percentage change in price / Percentage change in Demand
- Price elasticity of demand = Percentage change in Quantity demanded / Percentage change in Price
- Price elasticity of demand = Change in price / Change in Demand
- Price elasticity of supply = Percentage change in Quantity demanded / Percentage change in Price
- Correct Option: Price elasticity of demand = Percentage change in Quantity demanded / Percentage change in Price

9. Price elasticity of supply = Percentage change in Quantity demanded / Percentage change in Price

- Decrease in price of clothing
- Decrease in price of food
- Increase in price of food
- Increase in price of clothing
- Correct Option: Decrease in price of clothing

10. Coffee and tea are considered as substitutes, if the price of tea increases then it will shift:

- Demand curve for coffee towards right.
- Supply curve for coffee towards left.
- Demand curve for tea towards right.
- Demand curve for coffee towards left.
- Correct Option: Demand curve for coffee towards right.

1. Suppose a consumer is spending all of his income on food (measured on x-axis) and clothing (measured on y-axis). Which of the following will pivot the budget line outward towards y-axis?

Options:

- Increase in price of clothing
- Increase in price of food
- Decrease in price of clothing
- Decrease in price of food

Correct option: Decrease in price of food

2. Which of the following will cause the demand curve for butter to shift to the right?

Options:

- An increase in the price of margarine (a substitute)
- All of the given options
- An increase in the price of the butter
- A decrease in consumers' incomes

Correct option: An increase in the price of margarine (a substitute)

3. DVD players and DVDs are:

Options:

- Inferior goods
- Complementary goods
- Substitute goods
- Independent goods

Correct option: Complementary goods

4. OPEC is an example of:

Options:

- Non-competitive market
- Illegal market
- None of the given options
- Competitive market

Correct option: Non-competitive market

5. Which of the following is correct?

Options:

- Real price = (CPI base year / CPI current year) * Nominal price current year
- Real price = (CPI base year / CPI current year) * Real price current year
- Real price = (CPI base year + CPI current year) * Nominal price current year
- Real price = (Nominal price current year / CPI current year) * Nominal price current year

Correct option: Real price = (Nominal price current year / CPI current year) * Nominal price current year

6. Suppose demand curve for good A has shifted to the left as a result of increase in price of good B. From this we can infer that:

Options:

- Good A is used to produce good B.
- Goods A and B are complements.
- Goods A and B are substitutes.
- Good B is used to produce good A.

Correct option: Goods A and B are substitutes.

7. When the actual market price exceeds the equilibrium market price, there will be:

Options:

- No pressure on the market price.
- Upward pressure on the market price.
- Downward pressure on the market price.
- No purchases made.

Correct option: Downward pressure on the market price.

8. The concepts such as economic growth, inflation, and unemployment are discussed in _____ Economics.

Options:

- Macro
- Micro
- Managerial
- Financial

Correct option: Macro

9. Which of the following is (are) example(s) of perfectly competitive markets?

Options:

- Wapda
- All of the given options.
- Wheat
- OPEC

Correct option: Wheat

10. Which of the following is a positive statement?

Options:

- When the Federal government sells bonds, interest rates rise and private investment is reduced.
- When the price of a good goes up, consumers buy less of it.
- When the price of a good goes up, firms produce more of it.

- All of the given options.

Correct option: When the Federal government sells bonds, interest rates rise and private investment is reduced.

1. Mark the following statement as True or False.

Artifacts are objects used to convey nonverbal messages about self-concept, image, mood, feeling or style.

A) False

B) True

Correct Option: B) True

2. Which of the following is an environmental barrier to listening?

A) Hearing problems

B) Rapid thoughts

C) Problems in the communication channel

D) Egocentrism

Correct Option: D) Egocentrism

3. Mark the following statement as True or False.

Precision is one of the most important traits of good communicators which emphasizes that the communicators anticipate your reaction and shape the message accordingly.

A) True

B) False

Correct Option: B) False

4. Body size, skin color, and clothing are among several nonverbal signals that are used to:

A) Form and manage impressions

B) Express emotion

C) Form and define relationships

D) Alter verbal messages

Correct Option: A) Form and manage impressions

5. _____ non-verbal communication, by contrast, is characteristics of, or common to a group of people.

- A) Universal
- B) Cultural
- C) Common
- D) Unrelated

Correct Option: A) Universal

6. Mark the following statements as True or False.

There are five types of nonverbal messages.

- A) True
- B) False

Correct Option: B) False

7. It is best to use a written channel when:

- A) You need immediate feedback.
- B) Your message is short and simple.
- C) You need a permanent written record.
- D) None of the above

Correct Option: D) None of the above

8. The ability to communicate effectively _____.

- A) depends on not using technology to send messages
- B) depends on the education level of those around you
- C) can be learned
- D) is a natural talent that cannot be learned

Correct Option: C) can be learned

9. Which of the following is an example of Cliché?

- A) Absolutely free
- B) Quite unique
- C) As per our conversation
- D) Break the ice

Correct Option: B) Quite unique

10. Which word does not show gender bias?

- A) Nurse
- B) Foreman
- C) Chairman
- D) Businessman

Correct Option: A) Nurse

1. Question: An increase in consumers' income, holding prices constant, will:

- A. Shift the budget line rightward with its slope becoming flatter.
- B. Change the slope of the budget line.
- C. Shift the budget line leftward.
- D. Shift the budget line rightward.
- Correct Option: D. Shift the budget line rightward.

2. Question: If the prices are held constant, a decrease in income will:

- A. Shift budget line outwards.
- B. Rotate budget line outer towards Y-axis.
- C. Shift budget line inwards.
- D. Rotate budget line outer towards X-axis.
- Correct Option: C. Shift budget line inwards.

3. Question: All the points on the indifference curve give equal level of:

- A. Supply.
- B. Marginal utility.
- C. Utility.
- D. Demand.
- Correct Option: C. Utility.

4. Question: Suppose a consumer is spending all of his income on food (measured on x-axis) and clothing (measured on y-axis). Which of the following will pivot the budget line inward towards y-axis?

- A. Decrease in price of clothing
- B. Increase in price of clothing
- C. Decrease in price of food
- D. Increase in price of food
- Correct Option: D. Increase in price of food.

5. Question: The indifference curve for left shoe and right shoe will be:

- A. Upward sloping.
- B. Negatively sloped straight line.
- C. L-shaped.
- D. Vertical.
- Correct Option: C. L-shaped.

6. Question: Basic economic problem of every economy is:

- A. Unlimited material resources.
- B. Unlimited wants and needs.
- C. Abundant productive capital.
- D. Abundant productive labor.
- Correct Option: B. Unlimited wants and needs.

7. Question: Suppose a consumer is spending all of his income on food (measured on x-axis) and clothing (measured on y-axis). Which of the following will pivot the budget line outward towards y-axis?

- A. Decrease in price of food
- B. Decrease in price of clothing
- C. Increase in price of clothing
- D. Increase in price of food
- Correct Option: A. Decrease in price of food.

8. Question: Indifference curve cannot slope upward due to the assumption of:

- A. More of any good is preferred to less.
- B. Preferences are transitive.
- C. Preferences are complete.
- D. None of the given options.
- Correct Option: A. More of any good is preferred to less.

9. Question: Which branch of economics deals with the behavior of individual consumers, firms, and investors?

- A. Mathematical economics.
- B. Microeconomics.
- C. Macroeconomics.
- D. Development economics.
- Correct Option: B. Microeconomics.

10. Question: Which of the following statements is correct?

- A. Income elasticity of demand for inferior goods is positive.
- B. Income elasticity of demand for normal goods is negative.
- C. Cross elasticity of demand for substitutes is positive.
- D. Cross elasticity of demand for substitutes is negative.
- Correct Option: C. Cross elasticity of demand for substitutes is positive.

1. Which of the following characteristics differentiates competitive market from non-competitive market?

- A. The extent to which any firm can influence the price of the product.
- B. The presence of government intervention.
- C. The size of the firms in the market.
- D. The annual sales made by the largest firms in the market.
- Correct Answer: A

2. If the percentage change in quantity demanded for milk is less than the percentage change in price of milk then the price elasticity of demand for milk is:

- A. Inelastic.
- B. Unitary elastic.
- C. Perfectly elastic.
- D. Elastic.
- Correct Answer: D

3. The indifference curve for left shoe and right shoe will be:

- A. Upward sloping.
- B. L-shaped.
- C. Negatively sloped straight line.
- D. Vertical line.
- Correct Answer: C

4. Consumers can maximize their satisfaction at a point where marginal rate of substitution is:

- A. Less than the ratio of the prices.
- B. Greater than the ratio of the prices.
- C. Equal to the ratio of the prices.
- D. Not equal to the ratio of the prices.

- Correct Answer: C

5. Suppose a consumer is spending all of his income (budget) on food and clothing. Which of the following factors will shift consumer's budget line to the left?

- A. Decrease in consumer's income
- B. A decrease in price of clothing
- C. An increase in price of clothing
- D. An increase in price of food

- Correct Answer: A

6. Which of the following is a branch of economics that deals with observations of real economic facts?

- A. Positive economics
- B. Normative economics
- C. Welfare economics
- D. Welfare economics

- Correct Answer: A

7. Entrepreneur gets its reward in shape of:

- A. Interest.
- B. Both Interest and profit.
- C. Wages.
- D. Profit.

- Correct Answer: D

8. Income elasticity of demand for an inferior good is always:

- A. Zero.
- B. Negative.
- C. Positive.
- D. Positive but less than one.

- Correct Answer: B

9. Which of the following shows the relationship between the price of a good and the amount of that good that consumers want at that price?

- A. Supply curve
- B. Supply schedule
- C. Demand curve
- D. Indifference curve

- Correct Answer: C

10. _____ represents all combinations of market baskets that provide the same level of utility to a consumer:

- A. An isoquant.
- B. A demand curve.
- C. An indifference curve.
- D. A budget line.

- Correct Answer: C

1. If the cross elasticity of demand is -2, which of the following statements is true?

Options:

- a) All of the given options are true.
- b) The products are substitutes.
- c) The products are inferior goods.
- d) The products are complements.

Correct Option: d) The products are complements.

2. If the percentage change in quantity demanded for bread is more than the percentage change in price of bread, then the price elasticity of demand for bread is:

Options:

- a) Elastic.

- b) Unitary elastic.
- c) Inelastic.
- d) Perfectly elastic.

Correct Option: a) Elastic.

3. An increase in consumers' income, holding prices constant, will:

Options:

- a) Shift the budget line leftward.
- b) Shift the budget line rightward.
- c) Shift the budget line rightward with its slope becoming flatter.
- d) Change the slope of the budget line.

Correct Option: b) Shift the budget line rightward.

4. The basic economic problem of every economy is:

Options:

- a) Unlimited wants and needs.
- b) Abundant productive capital.
- c) Abundant productive labor.
- d) Unlimited material resources.

Correct Option: a) Unlimited wants and needs.

5. The demand curve becomes horizontal if the price elasticity of demand is:

Options:

- a) Zero.
- b) Negative.
- c) Infinite.
- d) Positive.

Correct Option: c) Infinite.

6. Coffee and tea are considered as substitutes. If the price of coffee increases, then it will shift:

Options:

- a) Supply curve for tea towards left.
- b) Demand curve for tea towards left.
- c) Demand curve for tea towards right.
- d) Demand curve for coffee towards right.

Correct Option: c) Demand curve for tea towards right.

7. Cross price elasticity of demand for complements will always be:

Options:

- a) Zero.
- b) Negative.
- c) Positive.
- d) Infinity.

Correct Option: b) Negative.

8. Suppose an individual is spending all his income on buying only two goods, X and Y. Which of the following expressions represents the utility maximizing market basket?

Options:

- a) $P_x/P_y = \text{money income}$.
- b) $MRS_{xy} = \text{money income}$.
- c) MRS_{xy} is at a maximum.
- d) $MRS_{xy} = P_x/P_y$.

Correct Option: d) $MRS_{xy} = P_x/P_y$.

9. Income elasticity of demand for an inferior good is always:

Options:

- a) Positive.
- b) Positive but less than one.

c) Zero.

d) Negative.

Correct Option: d) Negative.

10. Market equilibrium is a market state where:

Options:

a) The supply in the market is not equal to the demand in the market.

b) The supply in the market is equal to the demand in the market.

c) The supply in the market is greater than the demand in the market.

d) The supply in the market is less than the demand in the market.

Correct Option: b) The supply in the market is equal to the demand in the market.

1. Consumers can maximize their satisfaction at a point where marginal rate of substitution is:

- A) Greater than the ratio of the prices.

- B) Not equal to the ratio of the prices.

- C) Equal to the ratio of the prices.

- D) Less than the ratio of the prices.

- Correct option: C) Equal to the ratio of the prices.

2. An increase in consumers' income, holding prices constant, will:

- A) shift the budget line rightward.

- B) shift the budget line rightward with its slope becoming flatter.

- C) shift the budget line leftward.

- D) change the slope of the budget line.

- Correct option: A) shift the budget line rightward.

3. Suppose a consumer is spending all of his income on food and books. Which of the following will pivot the budget line inward towards x-axis?

- A) Decrease in price of books

- B) Decrease in price of food
- C) Increase in price of food
- D) Increase in price of books
- Correct option: C) Increase in price of food

4. Inferior goods have negative income elasticity and luxury goods have:

- A) Income elasticity equal to one
- B) Income elasticity less than one
- C) Income elasticity less than zero
- D) Income elasticity greater than one
- Correct option: D) Income elasticity greater than one

5. Suppose a consumer is spending all of his income (budget) on food and clothing. Which of the following factors will shift the consumer's budget line to the left?

- A) Decrease in consumer's income
- B) A decrease in price of clothing
- C) An increase in price of food
- D) An increase in price of clothing
- Correct option: A) Decrease in consumer's income

6. Which of the following is a positive statement?

- A) When the price of a good goes up, firms produce more of it.
- B) When the Federal government sells bonds, interest rates rise and private investment is reduced.
- C) When the price of a good goes up, consumers buy less of it.
- D) All of the given options.

- Correct option: B) When the Federal government sells bonds, interest rates rise and private investment is reduced.

7. Suppose the price of meat remains constant. Which of the following will happen as a result of an increase in consumer's income?

- A) Supply curve of meat shifts towards right.
- B) Demand curve of meat shifts towards right.
- C) Demand curve of meat shifts towards left.
- D) Supply curve of meat shifts towards left.
- Correct option: B) Demand curve of meat shifts towards right.

8. OPEC is an example of:

- A) Competitive market
- B) None of the given options
- C) Non-competitive market
- D) Illegal market
- Correct option: C) Non-competitive market

9. Which of the following is a branch of economics that deals with observations of real economic facts?

- A) All of the given options
- B) Normative economics
- C) Welfare economics
- D) Positive economics
- Correct option: D) Positive economics

10. DVD players and DVDs are:

- A) Inferior goods
- B) Complementary goods
- C) Independent goods
- D) Substitute goods
- Correct option: B) Complementary goods

1. Suppose a consumer is spending all of his income on food (measured on x-axis) and clothing (measured on y-axis). Which of the following will pivot the budget line inward towards y-axis?

- A) Increase in price of clothing
- B) Decrease in price of food
- C) Increase in price of food
- D) Decrease in price of clothing
- Correct option: A) Increase in price of clothing

2. If X is a normal good, a rise in money income will shift the:

- A) Supply curve for X to the right
- B) Supply curve for X to the left
- C) Demand curve for X to the right
- D) Demand curve for X to the left
- Correct option: C) Demand curve for X to the right

3. Aslam consumes less of a good due to increase in his income. For Aslam, this good is categorized as:

- A) Normal
- B) Public
- C) Inferior
- D) Giffen
- Correct option: C) Inferior

4. Which of the following is correct?

- A) $\text{Real price} = (\text{Nominal price current year} / \text{CPI current year}) \times \text{Nominal price current year}$
- B) $\text{Real price} = (\text{CPI base year} / \text{CPI current year}) \times \text{Nominal price current year}$
- C) $\text{Real price} = (\text{CPI base year} / \text{CPI current year}) \times \text{Real price current year}$
- D) $\text{Real price} = (\text{CPI base year} + \text{CPI current year}) \times \text{Nominal price current year}$
- Correct option: A) $\text{Real price} = (\text{Nominal price current year} / \text{CPI current year}) \times \text{Nominal price current year}$

5. Suppose the price of meat remains constant. Which of the following will happen as a result of decrease in consumer's income?

- A) Demand curve of meat shifts towards left
- B) Supply curve of meat shifts towards left
- C) Demand curve of meat shifts towards right
- D) Supply curve of meat shifts towards right
- Correct option: A) Demand curve of meat shifts towards left

6. A geographically defined area where buyers and sellers interact to determine the price of a product is called:

- A) Club
- B) Bank
- C) Market
- D) Stadium
- Correct option: C) Market

7. Suppose demand curve for good A has shifted to the left as a result of increase in price of good B. From this we can infer that:

- A) Good A is used to produce good B
- B) Goods A and B are complements
- C) Goods A and B are substitutes
- D) Good B is used to produce good A
- Correct option: C) Goods A and B are substitutes

8. Cross-price elasticity of demand for the substitute goods will always be:

- A) Infinity
- B) Negative
- C) Zero
- D) Positive
- Correct option: B) Negative

9. Suppose a consumer is spending all of his income on food (measured on x-axis) and books (measured on y-axis). Which of the following will pivot the budget line inward towards x-axis?

- A) Decrease in price of food
- B) Increase in price of food
- C) Decrease in price of books
- D) Increase in price of books
- Correct option: D) Increase in price of books

10. When we buy a product at low price in one location and sell it at high price in another location, it is known as _____ in economics.

- A) Consumer theory
- B) Market parameter
- C) Arbitrage
- D) Price discrimination
- Correct option: C) Arbitrage

1. When the cost of labor increases then it will lead to shift in:

Options:

- A) Supply curve towards right
- B) Demand curve towards right
- C) Supply curve towards left
- D) Demand curve towards left

Correct option: C) Supply curve towards left

2. Consumers can maximize their satisfaction at a point where marginal rate of substitution is:

Options:

- A) Equal to the ratio of the prices
- B) Greater than the ratio of the prices

C) Not equal to the ratio of the prices

D) Less than the ratio of the prices

Correct option: A) Equal to the ratio of the prices

3. The Knowledge and skills acquired by worker through education and experience referred to as:

Options:

A) Physical Capital

B) Entrepreneurship

C) Land

D) Human capital

Correct option: D) Human capital

4. Indifference curves are convex to the origin because of:

Options:

A) The assumption that more is preferred to less

B) The assumption of a diminishing marginal rate of substitution

C) The assumption of completeness

D) Transitivity of consumer preferences

Correct option: B) The assumption of a diminishing marginal rate of substitution

5. Responsiveness of percentage change in quantity demanded of one good due to one percentage change in price of another good is familiarly known as:

Options:

A) Cross-price elasticity of demand

B) Income elasticity

C) Price Point price

D) Income elasticity of demand

Correct option: A) Cross-price elasticity of demand

6. Suppose a consumer is spending all of his income (budget) on food and clothing. Which of the following factors will shift consumer's budget line to the left?

Options:

- A) Decrease in consumer's income
- B) A decrease in price of clothing
- C) An increase in price of clothing
- D) An increase in price of food

Correct option: D) An increase in price of food

7. Which of the following is correct?

Options:

- A) Real price = (CPI base year + CPI current year) Nominal price current year
- B) Real price = (CPI base year / CPI current year) Real price current year
- C) Real price = (CPI base year / CPI current year) Nominal price current year
- D) Real price = (Nominal price current year / CPI current year) Nominal price current year

Correct option: D) Real price = (Nominal price current year / CPI current year) Nominal price current year

8. When the cost of raw material decreases then it will lead to shift in:

Options:

- A) Supply curve towards left
- B) Demand curve towards right
- C) Demand curve towards left
- D) Supply curve towards right

Correct option: D) Supply curve towards right

9. Which of the following statements is correct?

Options:

- A) Income elasticity of demand for inferior goods is positive

B) Income elasticity of demand for normal goods is negative

C) Cross elasticity of demand for substitutes is positive

D) Cross elasticity of demand for substitutes is negative

Correct option: C) Cross elasticity of demand for substitutes is positive

10. Basic economic problem of every economy is:

Options:

A) Abundant productive capital

B) Unlimited material resources

C) Unlimited wants and needs

D) Abundant productive labor

Correct option: C) Unlimited wants and needs

1. Slope of indifference curve is known as Marginal rate of:

a) Technical substitution

b) Disutility

c) Utility (Correct)

d) Substitution

2. A geographically defined area where buyers and sellers interact to determine the price of a product is called:

a) Bank

b) Market (Correct)

c) Club

d) Stadium

3. Since mobile phone and SIM card are complements, the cross price elasticity of demand for mobile phone and SIM card will be:

a) Positive

- b) Infinity
- c) Zero
- d) Negative (Correct)

4. Suppose a college professor opens an academy for the coaching classes. He hires three more teachers with him. These teachers would most likely be which of the following factors of production?

- a) Labor (Correct)
- b) Money
- c) Entrepreneurship
- d) Capital

5. When we buy a product at low price in one location and sell it at high price in another location, it is known as _____ in economics.

- a) Market parameter
- b) Consumer theory
- c) Price discrimination (Correct)
- d) Price discrimination

6. Which of the following statements is correct?

- a) Cross elasticity of demand for substitutes is negative.
- b) Income elasticity of demand for normal goods is negative.
- c) Income elasticity of demand for inferior goods is positive.
- d) Cross elasticity of demand for substitutes is positive. (Correct)

7. Basic economic problem of every economy is:

- a) Unlimited material resources.
- b) Unlimited wants and needs. (Correct)
- c) Abundant productive labor.
- d) Abundant productive capital.

8. The indifference curve for left shoe and right shoe will be:

- a) Negatively sloped straight line.
- b) Upward sloping.
- c) Vertical. (Correct)
- d) L-shaped.

9. Suppose a consumer is spending all of his income (budget) on food and clothing. Which of the following factors will shift consumer's budget line to the left?

- a) A decrease in price of clothing
- b) An increase in price of food (Correct)
- c) An increase in price of clothing
- d) Decrease in consumer's income

10. If the percentage change in quantity demanded for bread is more than the percentage change in price of bread then the price elasticity of demand for bread is:

- a) Inelastic
- b) Perfectly elastic
- c) Elastic (Correct)
- d) Unitary elastic

1. Market equilibrium is a market state where:

- A. The supply in the market is greater than the demand in the market.
- B. The supply in the market is less than the demand in the market.
- C. The supply in the market is not equal to the demand in the market.
- D. The supply in the market is equal to the demand in the market.
- Correct option: D. The supply in the market is equal to the demand in the market.

2. Which of the following will cause the demand curve for butter to shift to the right?

- A. An increase in the price of the butter.
- B. An increase in the price of margarine (a substitute).
- C. All of the given options.
- D. A decrease in consumers' incomes.
- Correct option: C. All of the given options.

3. Which of the following will cause the demand curve for Apple to shift to the left?

- A. Decrease in taste and preference
- B. Decrease in the price of complements
- C. Increase in taste and preferences
- D. Increase in income
- Correct option: A. Decrease in taste and preference.

4. When we study behavior of an individual of any society that means we are doing study of _____ Economics.

- A. Managerial
- B. Macro
- C. Financial
- D. Micro
- Correct option: D. Microeconomics.

5. When the cost of labor increases then it will lead to shift in:

- A. Supply curve towards right.
- B. Demand curve towards left.
- C. Supply curve towards left.
- D. Demand curve towards right.
- Correct option: C. Supply curve towards left.

6. OPEC is an example of:

- A. Competitive market
- B. Non-competitive market
- C. None of the given options
- D. Illegal market
- Correct option: B. Non-competitive market.

7. Labor minister addressed in the cabinet meeting that the minimum wage should not be increased further. Which category his statement falls in?

- A. Negative
- B. Normative
- C. Positive
- D. None of the given options
- Correct option: B. Normative.

8. Which of the following statements is correct?

- A. Butter and margarine are examples of substitute goods.
- B. Tea and coffee are complementary goods.
- C. Butter and margarine are examples of complement goods.
- D. Car and petrol are substitute goods.
- Correct option: A. Butter and margarine are examples of substitute goods.

9. Consumer equilibrium is attained at a point where slope of indifference curve is equal to the slope of:

- A. Budget line.
- B. Supply curve.
- C. Demand curve.
- D. Total Utility curve.
- Correct option: A. Budget line.

10. When the cost of labor decreases then it will lead to shift in:

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- A. Supply curve towards left.
- B. Supply curve towards right.
- C. Demand curve towards right.
- D. Demand curve towards left.
- Correct option: B. Supply curve towards right.

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